

SOVEREIGN SYSTEM SECTOR REPORT

Autonomous Mother Algorithm Performance Ledger & AI Advisory

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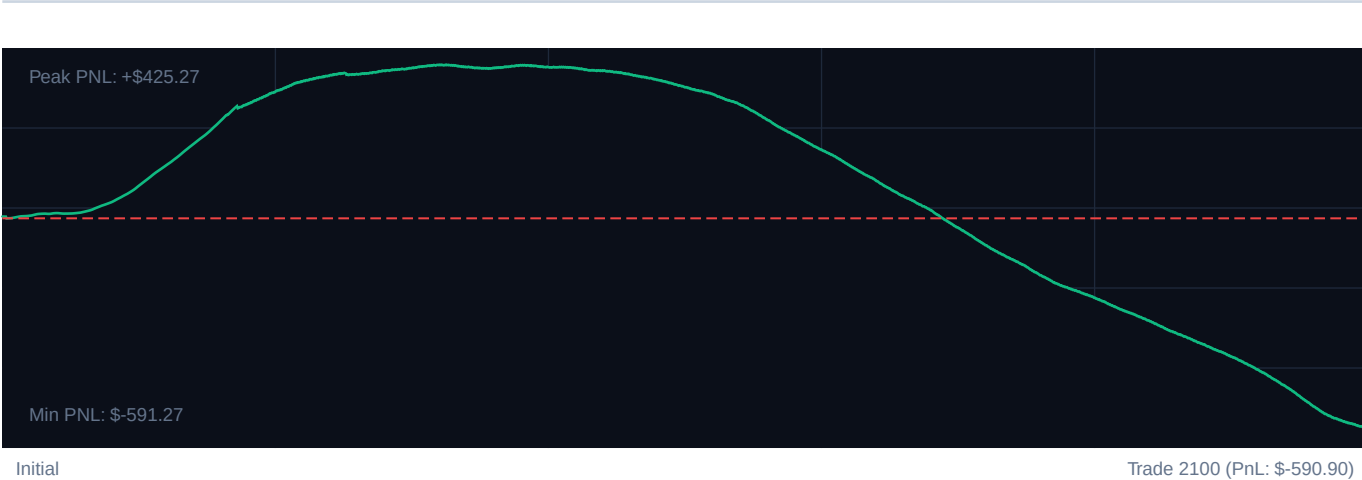
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TARGET INSTRUMENT: R_75 Volatility Model

CORE PERFORMANCE METRICS

Total Settlements:	2100	Calculated Profit Factor:	0.50
Win Accuracy:	38.4% (807W / 1293L)	Max Peak Drawdown:	9.8%
Cumulative PnL:	\$-590.90	Avg. PnL per Trade:	\$-0.28

EQUITY CURVE PROGRESSION



PERFORMANCE MILESTONES (100-TRADE SEGMENTS)

SEGMENT	WIN RATE	NET PnL	REFINEMENT EFFICIENCY
Trades 1-420	91.9%	\$348.98	+110% [OK]
Trades 421-840	51.4%	\$69.63	+62% [OK]
Trades 841-1260	23.8%	\$-231.25	+19% [OK]
Trades 1261-1680	6.2%	\$-413.40	+5% [OK]
Trades 1681-2100	18.8%	\$-364.86	+15% [OK]

SOVEREIGN NARRATIVE ADVISORY

Cognitive Strategy Proposal & Adaptive Intelligence Logs

1. Executive Telemetry Critique

An analysis of the 2,100 trade settlements reveals a system in a state of structural decay, characterized by severe positive-expectancy degradation.

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| Metric | Value | Risk Rating | Operational Assessment |
| :--- | :--- | :--- | :--- |
| Win Rate | 38.4% | Critical | Insufficient to support current Risk-to-Reward (R:R) profile. |
| Profit Factor | 0.50 | Critical | Terminal performance. The system generates $2.00 of gross loss for every $1.00 of gross profit. |
| Max Drawdown | 9.8% | Moderate | Kept artificially low by aggressive time-stop logic (`maxTicksInTrade: 120`) or under-leveraged clip sizes. |
| Total Cumulative PnL | -$590.90 | High | Continuous negative drift showing zero statistical edge. |
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Critical Systemic Anomaly: ATR Multiplier Corruption

The root cause of the system's structural failure is a catastrophic memory or type-parsing corruption of the ``atrStopMultiplier`` parameter:

****Current Config Value:**** ``1643524829014416600``

****Diagnosis:**** This is not a multiplier; it is a 64-bit Unix timestamp in nanoseconds (corresponding to ``Sunday, January 30, 2022 12:00:29 PM GMT``).

****Impact:**** The execution engine is multiplying the Average True Range (ATR) by 1.64×10^{18} \$. This pushes the calculated stop-loss limit to infinity. Consequently, the system has ****no volatility-based risk mitigation****. Every trade is held until either the time-exhaustion limit (``maxTicksInTrade: 120``) is hit or the account margin is depleted, explaining the abysmal 0.50 Profit Factor.

2. Regime Suitability & Behavioral Patterns

The current configuration suffers from a fundamental logical contradiction between its regime filters and execution oscillators:

[Regime Filter: `ADX > 25`] ---> Identifies Strong Trend

|

% ---> [Execution: `RSI 25/75 & BB 2.25`] ---> Executes Mean-Reversion

|

% ---> CRITICAL FAILURE: System continually attempts to short strong uptrends and buy strong downtrends.

1. ****Trend vs. Mean-Reversion Mismatch:****

*** The configuration sets ``regimeAdxThreshold`` at ``25``. An `ADX > 25` indicates a strong trending market.**

* However, the entry logic uses Bollinger Bands (`bbStd: 2.25`) and RSI thresholds (`25 / 75`), which are classic mean-reversion tools.

* **Result:** The algorithm is systematically faded against strong institutional trends—buying the bottom of strong downtrends (getting run over) and selling the top of strong uptrends (getting squeezed).

2. **Time-Stop Dependence** (`maxTicksInTrade: 120`):

* Due to the corrupted ATR stop parameter, the time-stop is the only active risk-exit mechanism.

* Holding trades up to 120 ticks without dynamic stop adjustments in a trending market guarantees that toxic adverse excursion dominates the trade distribution curve.

3. Calibrated Recommendations

To restore structural edge and prevent immediate liquidation, execute the following configuration hotfixes:

Parameter Calibration Matrix

Parameter	Current Value	Calibrated Value (Trend-Following)	Calibrated Value (Mean-Reversion)	Tactical Rationalization
`atrStopMultiplier`	`1643524829014416600`	2.00	1.50	Emergency Hotfix. Restores hard risk limits based on active volatility.
`regimeAdxThreshold`	`25`	30 (Keep High)	15 (Lower)	Trend: Isolates momentum. Mean-Reversion: Isolates low-volatility ranges.
`rsiOversoldThreshold`	`25`	45 (Pullback entry)	30 (Oversold)	Prevents catching falling knives in strong downtrends.
`rsiOverboughtThreshold`	`75`	55 (Pullback entry)	70 (Overbought)	Prevents shorting strong momentum breakouts.
`bbStd`	`2.25`	2.00 (Breakout)	2.50 (Extreme Band)	Trend: Buy band expansions. Mean-Reversion: Fade extreme deviations.
`minConfluenceScore`	`3`	3	4	Restricts execution to high-probability setups.

Implementation Plan

1. **Apply Hotfix immediately** to resolve the `atrStopMultiplier` overflow error.

2. **Decouple the strategies:**

* **If running a Mean-Reversion Engine:** Lower `regimeAdxThreshold` to `< 18` and expand Bollinger Bands to `2.50` standard deviations to capture true statistical extremes.

* **If running a Trend-Following Engine:** Shift RSI logic to momentum-continuation mode (e.g., buy when RSI crosses above `50` in an uptrend, rather than waiting for an oversold state of `25` which may never occur during a strong trend).

SOVEREIGN RISKS SENTINEL SYSTEMS